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Case Number: 24STCV27504 Hearing Date: August 20, 2026 Dept: 11

Final Approval of Class Action Settlement

Department SSC-11

Miguel Angel Villalobos v. H&E Equipment Services, Inc.

Case

No.: 24STCV27504

Hearing: August 20, 2026

TENTATIVE RULING

The Court GRANTS final approval and awards/approves
as follows:

(1) \$186,666.66 for attorney fees to Class

Counsel, Moon

Law Group, PC; (2) \$22,716.14 for attorney costs to Class

Counsel; (3) enhancement award of \$7,500 to the class representative,

Miguel

Angel Villalobos; (4) \$19,500 (65% of \$30,000 PAGA penalty) to the LWDA;

and (5) \$7,850 for settlement

administration costs to ILYM Group, Inc.

Class Counsel is ordered to lodge a proposed Order

consistent with this ruling and a separate judgment containing the class

definition, release language, and a statement that no class members opted out

of the settlement by _____, 2026.

BACKGROUND

Plaintiff

Miguel

Angel Villalobos sues Defendant H&E Equipment Services, Inc. for alleged wage and hour violations. Plaintiff seeks to represent a class of Defendant's current and former non-exempt employees.

On October 20, 2024, Plaintiff submitted to the LWDA, and sent via certified mail to Defendant, a Notice of Labor Code Violations pursuant to Labor Code section 2699.3(a).

On

October 21, 2024, Plaintiff filed a Class Action Complaint against Defendant which alleged eight individual and class causes of action for violation of the Labor Code and California Business and Professions Code. On January 3, 2025, Plaintiff filed a First Amended Class and PAGA Representative Action Complaint against Defendant H&E Equipment Services, Inc., which alleged a ninth individual and representative cause of action for civil penalties under PAGA.

On

June 9, 2025, the Parties participated in an all-day mediation presided over by mediator Hon. Carl West (Ret.), which ultimately resulted in settlement. The terms of settlement were finalized in the long-form Class Action and PAGA Settlement Agreement ("Settlement Agreement"), a copy of which was filed with the Court on January 15, 2026. The fully-executed copy of the agreement was subsequently filed on February 6, 2026.

As part of the settlement, the Parties stipulated to the filing of an Amended PAGA Notice with the LWDA and the filing of a Second Amended Class and PAGA Representative Action Complaint, naming as defendants both H&E Equipment Services, Inc. and H&E Equipment Services (California), LLC. The Amended PAGA Notice was filed with the LWDA on January 13, 2026. The Second Amended Class and PAGA Representative Action Complaint was filed on January 29, 2026.

On

February 18, 2026, the Court granted preliminary approval of the settlement.

Notice was given to
the Class Members as ordered. (See Declaration of Nick Castro ("Castro Decl.").)
Now before the
Court is the Motion for Final Approval of the Settlement.

SETTLEMENT CLASS DEFINITION

"Class"
or "Settlement Class" means all current and former hourly-paid or
non-exempt employees of Defendant and H&E Equipment Services
(California), LLC in California employed during the Class Period. (¶1.5)

"Class
Period" means the period from September 5, 2021, through June 1, 2025.
(¶1.13)

"Aggrieved
Employees" or "PAGA Group" means all current and former hourly-paid or
non-exempt employees of Defendant and H&E Equipment Services
(California), LLC in California employed during the PAGA Period. (¶1.4)

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"PAGA
Period" means the period from October 20, 2023, through June 1, 2025. (¶1.32)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as
follows:

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The Gross
Settlement Amount ("GSA") is \$560,000, non-reversionary. (¶3.0)

o Escalator Clause: It is estimated that there
are 35,000 Workweeks during the period from September 5, 2021, to June 1, 2025.
Should the number of workweeks increase more than 10% greater than these
figures during the Class Period, Defendants agree to either 1) increase the

Gross Settlement Amount on a proportional basis by the amount by which it exceeds 10% (i.e., if there was a 11% increase in the number workweeks during the Class Period, Defendants would agree to increase the Gross Settlement Amount by 1%), or 2) shorten the release period such that it ends on the date that the number of workweeks reaches 38,500 in which case Defendants will not be required to pay the additional amounts. Defendant shall be prepared to inform the Court of its selection at the Preliminary Approval Hearing. If Defendant exercises option (b), it shall also be prepared to inform the Court of the Class Period end date at the Preliminary Approval Hearing. (¶7.0)

o At final approval, the settlement administrator represents that the total number of Workweeks worked by the Participating Class Members during the Class Period is 36,166. (Castro Decl., ¶14.) Accordingly, the escalator clause was not triggered.

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The

Net Settlement Amount ("Net") estimated at preliminary approval (\$300,833.34) is the GSA minus the following:

Up

to \$186,666.66 (33 1/3%) for attorneys' fees (¶3.1.2);

Up

to \$25,000 for attorneys' costs (Ibid.);

Up

to \$7,500 for a Service Payment to the class representative (¶3.1.1);

Up

to \$10,000 for costs of settlement administration (¶3.1.3); and

o Payment of \$30,000 PAGA penalty (65% or \$19,500 to the LWDA) (¶3.1.5)

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Defendant

will separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (§3.0)

.

There is no claim form requirement. (§3.0)

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Individual Settlement Payment Calculation: The Administrator will calculate each Individual Class Payment by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. Non-Participating Class Members will not receive an Individual Class Payment. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (§3.1.3.1)

o PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 35% share of PAGA Penalties by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. (§3.1.4.1)

o Tax Allocation: Payment to the Class Members under this Settlement shall be attributed as follows: 10% to wages, 90% to penalties and interest. (§3.1.3.2) One hundred percent (100%) of each Individual PAGA Payment will be allocated as penalties. (§3.1.4.2)

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Response Deadline: "Response Deadline" means forty-five (45) calendar days from the date the Administrator mails the Class Notice to the Class and the last date on which Class Members may: (a) mail a Request for Exclusion from the Settlement; or (b) mail an Objection to the Settlement. Class Members to whom a Class Notice is resent after having been returned undeliverable to the Administrator shall have an additional fourteen (14) calendar days beyond the Response Deadline to timely mail a Request for Exclusion or Objection. (§1.43) The same deadline applies to the submission of workweek disputes. (§6.12.2)

o If the number of valid and timely Requests
for Exclusion exceeds five percent (5%) of the total of all Class Members,
Defendant will have the sole right to void the Settlement. (¶8.0)

Funding

of the Settlement: The Gross Settlement Amount and all employer payroll taxes
owed on the Wage Portions of the Individual Class Payments shall be fully
funded by transmission of such funds to the Administrator within fourteen (14)
calendar days of the Effective Date. (¶4.0)

Distribution:

No later than fourteen (14) calendar days after Defendant funds the entire
Gross Settlement Amount, the Administrator shall mail checks for the Individual
Class Payments, Individual PAGA Payments, LWDA PAGA Payment, Class Counsel Fees
Payment, Class Counsel Expenses Payment, Class Representative Service Payment,
and Administration Expenses Payment. Disbursement of the Class Counsel Fees
Payment, Class Counsel Expenses Payment, and Class Representative Service
Payment shall not precede disbursement of the Individual Class Payments and
Individual PAGA Payments. (¶4.1)

Uncashed Settlement Checks: Each check will be voided 180 days after the
date of mailing ("void date"). (¶4.1.1) For any Class Member whose Individual
Class Payment check or Individual PAGA Payment check is uncashed and cancelled
after the void date, or for any Class Member whose envelope is returned and no
forwarding address can be located for the Class Member after reasonable efforts
have been made, the Administrator shall transmit the funds represented by such
checks to the California Controller's Unclaimed Property Fund in the name of
the Class Member, thereby leaving no "unpaid residue" subject to the
requirements of California Code of Civil Procedure section 384(b). (¶4.1.3)

The

settlement administrator will be ILYM Group, Inc. (¶1.2)

The proposed Settlement

Agreement was submitted to the LWDA on January 15, 2026. (Declaration of Kane Moon ISO Prelim,

Exhibit 3.)

Releases of Claims.

Effective on the date Defendant fully funds the entire Gross Settlement Amount and any employer payroll taxes owed on the Wage Portions of the Individual Class Payments, Plaintiff, Participating Class Members, and Aggrieved Employees will release claims against all Released Parties as follows: (¶5)

o Release

by Participating Class Members: All claims to be released by the Settlement Class Members as to the Released Parties include all claims under state, federal, or local law, arising out of the claims expressly pleaded in the Complaint in the Action and all amendments thereto, and all other claims, such as those under the California Labor Code, Wage Orders, regulations, and/or other provisions of law, that could have been asserted based on the facts alleged, including but not limited to : (1) failure to pay minimum wages under Labor Code Sec. 1194, et seq.; (2) failure to pay overtime wages under Labor Code Sec. 510, 1194, 1198; (3) failure to provide meal periods and/or pay meal period premiums under Labor Code Sec. 226.7, 512; (4) failure to provide rest periods and/or pay rest period premiums under Labor Code Sec. 226.7; (5) failure to reimburse business expenses under Labor Code Sec. 2802; (6) failure to timely pay wages upon termination under Labor Code Sec. 201 – 203; (7) failure to provide accurate, itemized wage statements under Labor Code Sec. 226; (8) failure to pay sick pay under Labor Code Sec. 246; (9) failure to pay vacation pay under Labor Code Sec. 227.3; and (10) violation of California's unfair competition law under Business and Professions Code Sec. 17200, et seq. (collectively, the "Released Class Claims"). (¶5.1) The Released Class Claims exclude claims not permitted by law and are limited to claims arising during the Class Period. (¶5.1.1)

o Release

by Aggrieved Employees: The claims to be released by the Plaintiff, the LWDA, and the State of California are for civil penalties under the Labor Code Private Attorneys General Act ("PAGA"), based upon all underlying wage and hour claims under state, federal, or local law, which arise out of the claims and facts alleged in the Complaint and all amendments thereto or his October 20, 2024 PAGA Notice Letter and all supplemental and amended Notice Letters filed with the LWDA, and all other claims, such as those under the California Labor Code, Wage Orders, regulations, and/or other provisions of law, that could have

been asserted based on the facts alleged, including but not limited to, California Labor Code sections 98.6, 201, 202, 203, 204, 210, 216, 218, 222, 225.5, 226 et. Seq., 226.3, 226.7, 227.3, 233, 234, 246, 246.5, 432, 510, 512, 516, 551, 552, 558, 558.1, 1174, 1182.12, 1193, 1193.6, 1194, 1194.2, 1197, 1197.1, 1198, 1198.5, 1199, 2698 et seq., 2699, 2800, 2802, 2804, and 2810.5 (collectively, the “Released PAGA Claims”). In particular, and in line with the holding of *Arias v. Superior Court*, 46 Cal. 4th 969 (2009), because Plaintiff’s action under PAGA functions as a substitute for an action by the government itself, any judgment will be binding not only on the Plaintiff but also on government agencies and any other Aggrieved Employee not a party to the proceeding. Thus, nonparty employees who are Aggrieved Employees cannot sue to recover additional civil penalties for the same Labor Code violations released (but may sue for damages or other remedies for the same violations if they opt out of the class settlement). (¶5.2) Aggrieved Employees may not opt out of the PAGA portion of this Settlement. (¶5.2.1)

§ “PAGA

Notice” means Plaintiff’s October 20, 2024 letter to the LWDA providing written notice pursuant to Labor Code section 2699.3(a) and Plaintiff’s January 13, 2026 letter to the LWDA entitled Amended Notice of Labor Code Violations and PAGA Penalties. (¶1.34)

o “Released

Parties” means Defendant H&E Equipment Services, Inc., H&E Equipment Services (California), LLC, Herc Rentals Inc., and Herc Holdings Inc.; (b) the respective former and present parents, subsidiaries, affiliated corporations and entities, clients, vendors, and independent contractors of the entities in subparagraph (a); (c) the successors and predecessors of the entities identified in subparagraphs (a) and (b); and (d) each of the respective current, former, and future officers, directors, members, managers, insurers, accountants, attorneys, investment bankers, trusts, trustees, licensors, licensees, employees, consultants, vendors, payroll companies, staffing agencies, independent contractors, clients, partners, shareholders, joint venturers, and third-party agents of any entities identified in subparagraphs (a) through (c) (collectively, the “Released Parties”). (¶1.41)

o Named Plaintiff will additionally provide a general release and §1542 waiver. (¶5.0)

ANALYSIS OF SETTLEMENT AGREEMENT

A.

Does a presumption of fairness exist?

The Court preliminarily found in its Order of February 18, 2026 that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion.

Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

B.

Is the settlement fair, adequate, and reasonable?

The settlement was preliminarily found to be fair, adequate and reasonable. Notice has now been given to the Class.

Reaction

of the class members to the proposed settlement.

Number of Class Members: 398 (Castro Decl., ¶5.)

Number of notice packets mailed: 398 (Id. at ¶7.)

Number of undeliverable notices: 1 (Id. at ¶10.)

Number of opt-outs: 0 (Id. at ¶11.)

Number of objections: 0 (Id. at ¶12.)

Number of participating class members: 398 (Id. at ¶14.)

Average individual payment: \$767.00 (Id. at ¶15.)

Highest individual payment: \$1,654.38 (Ibid.)

The

Court finds that the notice was given as directed and conforms to due process

requirements. Given the reactions of the Class Members to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

C. Attorney Fees and Costs

Class

Counsel requests an award of \$186,666.66 in fees and \$22,716.14 in costs. (Memo ISO Final at 20:12-24.)

The Settlement Agreement provides for up to \$186,666.66 (33 1/3%) for attorney fees and \$25,000 in costs (§3.1.2).

"Courts

recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254.) Here, class counsel request attorney fees using the percentage method, as crosschecked by lodestar. (Memo ISO Final at pp. 15-20.)

In

common fund cases, the Court may employ a percentage of the benefit method, as cross-checked against the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) The fee request represents one-third of the gross settlement amount, which is the average generally awarded in class actions. (See In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ["Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery."].)

Class

Counsel has provided information, summarized below, from which the lodestar may be calculated:

Attorney

Rates

Hours

Totals

Kane
Moon

\$950

19.1

\$18,145.00

Lilit
Ter-Astvatsatryan

\$850

29.5

\$25,075.00

Jacquelyne
VanEmmerik

\$700

20.4

\$14,280.00

Nichelle
Christopherson

\$500

42.3

\$21,150.00

Totals

111.3

\$78,650.00

(Declaration of Kane Moon ISO Final, ¶64.)

Counsel's

percentage-based fee request is higher than the unadjusted lodestar, and would represent application of a multiplier of approximately 2.37x to reach.

Here,

the \$186,666.66 fee request

represents a reasonable percentage of the total funds paid by Defendant. Notice of the fee request was provided to class members in the notice packet, and no one objected. (Castro Decl., ¶12, Exhibit A.)

As

for costs, Class Counsel is requesting a cost amount of \$22,716.14. This is less than the \$25,000 cap provided

for at preliminary approval, which was disclosed to Class Members in the Notice and not objected to. (Castro

Decl., ¶12, Exhibit A.) Counsel

represents that costs include,

but are not limited to: filing fees, service of documents, Case Anywhere, expert fees, and mediation fees. (Moon Decl. ISO Final, ¶71, Exhibit 4.) The costs incurred appear to be reasonable in amount and reasonably necessary to this litigation.

Based on the above, the

recommendation is to award \$186,666.66 in fees and \$22,716.14 in costs.

D. Incentive Award

The class representative, Miguel Angel

Villalobos, seeks an

enhancement payment of \$7,500 for his contributions to the action. (Memo ISO Final at 22:1-2.)

In connection with the final fairness

hearing, named Plaintiffs must submit declarations attesting to why they should be entitled to an enhancement award in the proposed amount. The named Plaintiffs must explain why they “should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class.”

(Clark v. American Residential Services LLC (2009) 175

Cal.App.4th 785, 806.) Trial courts

should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’

Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

Plaintiff represents that his contributions to this litigation were as follows: engaged in conversations with his attorneys about all aspects of the case; identified relevant witnesses and provided several documents to his attorneys, including policy documents and records he received from Defendant during his employment; responded to his attorneys’ inquiries about his employment with Defendant; requested regular case updates from his attorneys; asked his attorneys questions; discussed the mediation and proposed settlement terms with his attorneys; and reviewed and signed the settlement. He estimates spending 30 hours on the case. (Declaration of Miguel Angel Villalobos ISO Final, ¶¶14-15.)

Based on the above, as well as the benefits obtained on behalf of the class, the recommendation is to grant the enhancement payment in the amount of \$7,500 to Plaintiff.

E.

Settlement Administration Costs

The settlement administrator, ILYM Group, is requesting \$7,850 for the costs of settlement administration. (Castro Decl., ¶17.) This is less than the estimated cost of \$10,000 provided for in the settlement agreement (¶3.1.3) and disclosed to class members in the Notice, to which there were no objections. (Castro Decl., ¶12, Exhibit A.) Based on the

above, the recommendation is to award costs in the requested amount of \$7,850.